was that all I had to do was pick the right stock, open my hand, and collect money for as long as I held it.

I made a perfect entry by buying the stock at the opening price the day after an upward breakout. The stock peaked two days later and then dived. It busted the upward breakout by closing below the bottom rectangle trendline. Drat!

The stock reversed and climbed 25%, so I was making money again. All of this didn't bother me too much. I was in the trade for the long term.

The blasted stock reversed again and started heading lower. When the company issued an earnings warning, I decided to sell and took a loss (6%) on a small position. The stock dropped to almost 51, a decline of 39% as measured from the prior high. This is one of the rectangles that triple busted.

- Lesson: When fundamentals change for the worse, sell, which is what I did and avoided a substantial loss.
- Lesson: Own a diversified portfolio so losses will hurt like pinpricks instead of amputation.

Northwest Pipe Co

Northwest Pipe (NWPX) suffered an 82% decline between 2014 and 2016. I became interested in the recovery when I saw a cloud bank pattern. The base of the cloud was 19 to 21, which became my target. When a rectangle top appeared, I bought on the breakout day. The stock went vertical and neared my target less than 2 months after I bought. Did I sell? No. This was a long-term holding so I hung on.

The stock retraced back to the rectangle top, giving back all of my gains. Then it turned and climbed back to the cloud base. In January 2018, I wrote in my trading notebook, “This didn't go anywhere this past year, but what scares the willy out of me is the negative analyst view.” Because the stock had hit my target, I sold and made over 50% on the trade. For an expanded review of the cloudbank trade, see the Experience section of Chapter 18.

- Lesson: For a cloudbank play, if the stock reaches the target sooner than expected, sell. Remember, it often takes as long to traverse the